More Than a List of Accounts

What a full picture of Mom's finances includes.

You know Mom has a pension, a checking account and the house. For most of your life that was all you needed to know, and it was her business anyway.

If the family ever sits down to talk about paying for care, a list of accounts turns out to be one part of a larger picture. This guide walks through the rest of it in general terms, so you and Mom know what belongs on the page. It explains. It doesn't add anything up or say what any of it means for her.

What comes in, and what she has

A full picture starts with two lists that families often blur together: the money that arrives each month, and the things Mom owns.

For income, a federal overview names these kinds: regular benefit payments such as Social Security, veterans benefits, pensions, salaries and wages, interest from bank accounts and certificates of deposit, and dividends from stocks and bonds. [1]

For what she has, the Consumer Financial Protection Bureau's guide for people who manage a relative's money says that to make careful decisions you need to know what the person owns and owes. Its list runs well past the bank: checking and savings accounts, cash, real estate, cars and other vehicles, insurance policies, stocks and bonds, and items of value. [2]

- For each source of income, note who pays it and how often it arrives.
- For each account, the institution and the kind of account are enough to begin. The statement fills in the rest.

Property and insurance

Property and policies are easy to leave off, because they don't show up on a bank statement. AARP's questions for a parent cover them directly: Do you own life insurance? If you own a vehicle, boat or land, where are the titles or deeds and registration? If you own property, is there a mortgage or a home equity loan? [3]

Long-term care insurance, if Mom has it, belongs here too. The federal long-term care glossary defines it as an insurance policy designed to offer financial support to pay for long-term care services, and Medicare.gov notes that these policies can vary widely. [4] [5]

- Note that a policy exists, which company issued it and where the policy is kept. What it would pay for is a question for the insurance company.
- For a home, land or a vehicle, note where the deed, title or registration is.

Whose name is on it

The names printed on a statement, a policy or a deed are part of the picture, and they're easy to miss when you're only counting accounts.

Accounts with two names on them are not all the same kind. The bureau explains that a joint account, where the money is jointly owned, is not the same as a convenience account, which doesn't change who owns the money. So when a second name appears on an account, the useful question for the bank is which kind it is. [6]

Beneficiaries are the other thing to list. AARP's checklist for caregivers suggests starting with a list of the accounts that have them, and checking with each institution that its records reflect the account holder's wishes. [7]

Why ownership matters when a family is planning for care depends on the state and the situation. It's a question for an elder law attorney or your Medicaid planner, and nothing in this guide asks you to change any of it.

- Copy the names as printed. Don't correct or tidy them.
- If Mom mentions a trust, note that it exists and where the trust agreement is kept.

What goes out, and the file that holds it all

The last list is what Mom pays: housing, insurance, healthcare, taxes, debts and ordinary living costs. The bureau suggests a list of debts and regular payments with the names of the institutions, and AARP adds a note of which bills are paid automatically from a checking account or a credit card. [8] [3]

Then there's the paper itself. The bureau's advice is to keep important documents in a safe, easily accessible location, to let trusted people know where to find them, and to keep the information current when something changes, such as a new account. [8]

The paper matters as much as the list. A federal overview of Medicaid says that during an application a person has to provide documentation of what assets they have. Which documents, and covering what period, is a question for your Medicaid planner, because it depends on the state. [1]

What this means for your family

- A full picture has six parts: what comes in, her accounts and investments, her property and insurance, whose name is on each, what goes out, and where the paper is kept.
- Your part is to list and locate, with Mom. Nobody is asking the family to add it up or judge it.
- A blank is useful. “Don't know yet” tells the next person exactly where to look.
- Which parts matter for Medicaid planning isn't for the family to sort out. A federal overview says the assessment of a person's assets can be fairly complex, depending on how much and what kind of assets they have (source 1 below). List everything and bring the question to your Medicaid planner.

What this guide doesn't do

It doesn't say what Mom's finances add up to, which of them matter for Medicaid, or whether anything about them should change. It isn't legal, financial or tax advice. The lists and definitions come from the sources below. The advice about what to write down is ours.

Ready for the next step?

You know what a full picture covers, beyond the accounts. The planning interview asks about your family's situation one area at a time and gives you a free planning report you can bring to any conversation about paying for care.

Get Your Free Planning Report ›

WHERE THIS COMES FROM

1. Administration for Community Living (LongTermCare.gov), Medicaid Eligibility

2. Consumer Financial Protection Bureau, Managing someone else's money: Help for agents under a power of attorney
3. AARP, 5 Steps to Organize Your Loved One's Financial Records
4. Administration for Community Living (LongTermCare.gov), Glossary
5. Medicare.gov (Centers for Medicare & Medicaid Services), How can I pay for nursing home care?
6. Consumer Financial Protection Bureau, Considering a financial caregiver? Know your options
7. AARP, Legal Checklist for Caregivers With Aging Parents
8. Consumer Financial Protection Bureau, Planning for diminished capacity and illness

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